

The Real Estate Investor's Guide to Private Lending

What it costs, how to qualify, and the five mistakes that kill deals

- The real rate and points, and why the advertised number is not yours yet
- How much a lender will actually put in, worked through on a real deal
- The qualification checklist, item by item
- Five mistakes that sink deals before they close

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Read this first. Every number in this guide comes from the published terms and underwriting guidelines of the lending partner Dominion Hard Money places deals with, as they stood in September 2026. Lenders change terms, and every loan is decided in underwriting, not in a guide. Treat these figures as the rules of the game, not as a quote.

1. Who this is from, and why it is free

Dominion Hard Money does not lend its own money. We take a real estate investor's deal, check that it fits what our lending partner funds, and send it over. When a loan closes, the lender pays us. You do not pay us anything.

That arrangement is worth stating plainly, because it explains this guide. Most deals that come to us and fail do not fail because the investor is a bad risk. They fail because nobody told the investor the rules before they signed a purchase contract. The rehab budget was bigger than a first-time borrower is allowed. The plan was to move a relative into the house. The "100 percent financing" turned out to need forty thousand dollars of cash.

Every one of those is avoidable if you know the rules in advance. So here they are, in plain English, before you are under contract and the clock is running.

If you read this and decide your deal does not fit, that is a good outcome too. It costs a lot less to find out now.

2. What a private money loan actually is

A private money loan, often called a hard money loan, is a short-term loan secured by an investment property. The lender is mostly lending against the property and the plan for it, not against your paycheck. That is why these loans close faster than a bank mortgage and why they cost more.

Four things define it, and each one rules certain deals in or out.

It is for business, not for a home

These loans are for investment property only. The lender will not fund a house you, a co-owner, a guarantor, or a close family member will live in. That includes a spouse, parent, child, sibling or grandparent. It will not fund a property you plan to use as your own office either. More on this in the mistakes chapter, because it catches people who never meant to break a rule.

You borrow through a company

The loan goes to a business entity: an LLC, a corporation or a trust, properly formed and in good standing. Lenders generally expect a single-purpose entity that holds just

this property, with no more than three owners. Every person who owns 30 percent or more signs a personal guarantee.

It is short and interest-only

You pay interest monthly and repay the whole loan at the end, usually by selling the property or refinancing it. The standard term is nine months.

The rehab money comes after the work

The renovation portion of the loan is held back and released in draws. You do the work, document it, and get reimbursed. That single fact changes how much cash you need, and it is covered in detail below.

3. What it costs

You will see "rates starting at 10.99 percent and 1.99 points" advertised, including by our lending partner. That rate is real, but it is not the one a first-time borrower gets.

Pricing tier	Interest rate	Origination points	Who gets it
Standard	from 12.99%	from 2.99%	Most borrowers, including anyone new to this lender
Loyalty	from 10.99%	from 1.99%	Borrowers who have paid off two or more loans with this lender and are in good standing

So plan your first deal at the standard price. The loyalty pricing is something you earn by closing and repaying two loans on time. It is a real reason to stay with one lender once a relationship works.

What "from" means

Both rates are floors. Final pricing can move up based on your credit, your experience, the size of the loan, the property and the market. Loans above \$450,000 may carry an extra half point of origination. You get your actual numbers from underwriting, not from a website.

What a point costs you

A point is one percent of the loan amount, paid at closing. On a \$210,000 loan, 2.99 points is \$6,279. Points, closing costs and prepaid interest are not part of what the

lender finances under the standard program. They come out of your pocket.

The term, and the one that does not match

The lender's underwriting guidelines set a standard term of nine months. You can ask for up to three more months, but an extension is not guaranteed and may cost extension points. The absolute maximum, including every extension, is eighteen months. The lender's marketing page describes loans as a maximum of twelve months. The guidelines are the document underwriting follows, so plan your project to finish and sell or refinance inside nine months, and treat anything beyond that as a favor you might not get.

Rule of thumb: budget the standard rate, the standard points and a nine-month hold. If the deal only works at the loyalty rate or with an extension, it does not work yet.

4. How much a lender will put in

Two limits apply at the same time, and the lower one wins.

Loan-to-cost: up to 100 percent

Total project cost is the purchase price plus the approved renovation budget. Under the standard program the loan can cover up to 100 percent of that, meaning up to all of the purchase price and all of the approved rehab. It does not cover closing costs, lender fees or prepaid interest.

Loan-to-value: 70 percent of the after-repair value

The loan also cannot exceed 70 percent of the property's after-repair value, the ARV, as supported by an appraisal. This is usually the limit that actually binds.

Six counties where the limit is 50 percent

In six counties the lender currently caps the loan at 50 percent of value instead of 70. If your deal is in one of them, run your numbers at 50.

County	Major city
Cook County, Illinois	Chicago
Cuyahoga County, Ohio	Cleveland
Baltimore County, Maryland	Baltimore area
Philadelphia County, Pennsylvania	Philadelphia
St. Louis County, Missouri	St. Louis area
Wayne County, Michigan	Detroit

Floors and ceilings

Limit	Amount
Minimum after-repair value	\$100,000
Minimum loan, 1 unit	\$50,000
Minimum loan, 2 units	\$100,000
Minimum loan, 3 units	\$150,000
Minimum loan, 4 units	\$200,000
Maximum loan, standard program	\$1,000,000 (larger requests case by case)
Minimum projected profit	10% of the loan amount

That last line matters more than people expect. The lender wants to see a projected profit of at least ten percent of the loan, after purchase, rehab, financing and selling costs. It is there to make sure you have a reason to finish the job. A deal that clears it by a few dollars is a deal that one surprise will sink.

5. A deal worked through, line by line

Here is a typical first flip run through the rules above. The numbers are an example, not a quote, but every rule applied is real.

The deal: a house under contract for \$180,000, needing \$40,000 of work, with an appraised after-repair value of \$300,000. The borrower has done this zero or one times before.

Step 1: How much will the lender lend?

Test	Calculation	Maximum
Loan-to-cost, 100%	$\$180,000 + \$40,000$	\$220,000
Loan-to-value, 70% of ARV	$\$300,000 \times 70\%$	\$210,000
Loan amount	the lower of the two	\$210,000

The value test binds. The loan covers \$210,000 of a \$220,000 project, so the borrower funds the other \$10,000 of cost.

Step 2: What does the money cost?

Item	Calculation	Amount
Origination points	2.99% of \$210,000, paid at closing	\$6,279
Monthly interest	$12.99\% \times \$210,000 \div 12$	\$2,273
Interest over nine months	if the full loan is outstanding the whole time	\$20,459

Interest may be lower if you only pay interest on rehab money as it is drawn. Ask how your loan is set up. Budget the higher figure.

Step 3: Does it clear the profit test?

Line	Amount
Sale at after-repair value	\$300,000
Less purchase price	-\$180,000
Less renovation	-\$40,000
Less points	-\$6,279
Less nine months of interest	-\$20,459
Less buying closing costs, about 2%	-\$3,600
Less selling costs, about 8%	-\$24,000
Projected profit	\$25,662
Required minimum, 10% of \$210,000	\$21,000

It passes, by about \$4,700. That is the honest shape of most first flips: a real profit on paper, with not much room. If the appraisal comes in at \$285,000 instead of \$300,000, the loan drops to \$199,500 and the profit shrinks by roughly \$15,000. The deal fails the test.

Step 4: How much cash does the borrower need?

Cash need	Amount
Project cost the loan does not cover	\$10,000
Points at closing	\$6,279
Buying closing costs	\$3,600
Interest payments during the hold	\$20,459
Cash spent on this deal	about \$40,300
Plus reserves shown at underwriting	at least \$15,000

The number to remember: a loan that covers "100 percent" of a \$220,000 project still needs about \$40,000 of the borrower's own cash to get through, plus \$15,000 more sitting in an account to prove you can weather a surprise. And because rehab money is paid back after each stage of work, you also need enough on hand to pay the contractor before each draw comes through.

6. How to qualify: the checklist

Go down this list before you sign a purchase contract. Anything you cannot tick is a conversation to have first, not a surprise to find in underwriting.

You and your credit

- ☐ A middle credit score of at least 600 for each guarantor. The lender takes the middle of your three bureau scores; with several guarantors it averages their middle scores. Higher scores can earn better pricing.
- ☐ No bankruptcy, foreclosure, short sale, deed in lieu or serious loan default in the last 36 months. Older events can still be reviewed, and recent ones may be considered with a written explanation, but expect this to be hard.

- ☐ No fraud-related criminal history, no active tax lien without a payment plan, and no child support lien in default. Each of these can make a loan ineligible on its own.

Your cash

- ☐ At least \$15,000 in reserves, verified with the last two months of statements.
- ☐ Know how each account counts: bank accounts at 100 percent of the balance, business accounts at 100 percent, stocks and bonds at 50 percent, and retirement accounts at 50 percent, or 100 percent if you are 60 or older.
- ☐ Enough on top of reserves for the down payment gap, closing costs, points and interest. See chapter 5.

Your company

- ☐ An LLC, corporation or trust, formed in the United States and in good standing.
- ☐ Formation documents in hand: articles, operating agreement, EIN letter, certificate of good standing.
- ☐ Generally no more than three owners, and a personal guarantee from each owner of 30 percent or more.

Your experience

- ☐ Settlement statements (HUDs or closing statements) for every past investment deal you want counted.
- ☐ If you have completed zero or one project, a renovation budget of \$40,000 or less. Two or more documented projects can unlock bigger budgets.
- ☐ Ideally, a renovation budget no more than half the purchase price. Bigger ratios get more scrutiny.

The property

- ☐ A single-family house, a 2-to-4-unit building, a townhome or a condo, legally permitted as a residence.
- ☐ No one connected to the borrower will live in it or use it as an office.
- ☐ On a lot of two acres or less.
- ☐ Within about 45 minutes to an hour of a metro area of 200,000 people or more.
- ☐ Not in Nevada, Utah, South Dakota or Vermont, where this lender does not currently lend.

- An after-repair value of at least \$100,000, supportable by an appraisal.

7. The five mistakes that kill deals

MISTAKE 1

Planning to live in it, or letting family live in it

This is the one that ends a deal fastest, and it is often innocent. An investor buys a duplex, fixes it up, and plans to let a daughter rent one side. Under the lender's rules, a property is owner-occupied if any borrower, owner, guarantor, or close family member of any of them lives there or intends to. The lender does not fund owner-occupied or personal-use property at all, and it can stop processing the moment it suspects it.

Avoid it: if anyone in your family might live there, even later, say so at the start and look at a different kind of loan. Do not leave it out and hope.

MISTAKE 2

Believing "100 percent financing" means no money down

The lender can finance up to all of the purchase and all of the approved rehab. It does not finance points, closing costs or interest, and the 70 percent value test often cuts the loan below the project cost anyway. The worked example in chapter 5 needed about \$40,000 of the borrower's cash, plus \$15,000 of reserves.

Avoid it: add up the points, closing costs, nine months of interest and any gap between cost and loan before you make an offer. If you do not have it, you are not ready for this deal yet.

MISTAKE 3

Budgeting the rehab you want instead of the one you are allowed

A borrower with zero or one completed projects is limited to a \$40,000 renovation budget. Plenty of first deals are built around a \$70,000 gut job and then stall in underwriting. The budget also has to be on the lender's own budget form, with a scope of work, and permits are required for electrical, plumbing, HVAC and structural work.

Then there is the draw process. Rehab money is paid as a reimbursement after each stage is finished and documented with invoices, receipts and photos. You pay the contractor first and get paid back after.

Avoid it: for a first deal, pick a property whose work fits under \$40,000, keep the scope on the lender's form from day one, and hold enough cash to float at least one full draw.

MISTAKE 4

Running a margin too thin to survive the appraisal

Your ARV is a guess until the appraiser says otherwise, and the loan is sized off the appraiser's number, not yours. The lender also wants a projected profit of at least ten percent of the loan. In the chapter 5 example, a \$15,000 drop in appraised value turned a passing deal into a failing one.

Avoid it: support your ARV with recent sold comparables, not listings, and run the deal again at a lower value. If it only works at your best-case number, negotiate the price down or pass.

MISTAKE 5

Having no exit that fits inside nine months

The loan is due in full at maturity. Standard is nine months; an extension of up to three more months can be requested but is not guaranteed and can cost extension points. Many investors plan to "just refinance" with the same lender and pull cash out. Under the standard guidelines, cash-out refinances are generally not permitted, except case by case, for example on a property owned free and clear or held more than three years.

Avoid it: decide before closing whether you are selling or refinancing, and with whom. If the plan is to keep the property as a rental, line up the long-term rental loan early (see chapter 8), and build a schedule that finishes the work with time to spare.

8. When the flip becomes a rental, or a new build

Keeping it: the rental loan

If you would rather hold the property, the lender's DSCR rental loan qualifies on the property's rent, not your personal income. DSCR stands for debt service coverage ratio: whether the rent covers the payment.

DSCR rental loan	As published, September 2026
Interest rate	starting as low as 5.99%
Origination points	starting as low as 1.5%
Minimum credit score	no minimum
Loan amount	\$75,000 to \$2 million, up to 80% of value
Other	cross-collateral allowed on 2 or more properties; portfolio loans case by case

The "starting" rate is again a floor. Expect your actual rate to depend on the property's cash flow, your credit and the loan size.

Building new: the construction loan

Construction loan	As published, September 2026
Interest rate	starting at 8.5%
Loan amount	\$100,000 to \$3 million
Term	12 to 24 months
Leverage	up to 75% of as-is value; up to 85% of after-repair value
Minimum credit score	650
Property	non-owner-occupied single family only; minimum as-completed value \$150,000
Experience	leverage based on experience documented over the past three years

9. The documents to gather before you submit

A complete file is the fastest file. Have these ready and your deal moves on the lender's timeline instead of waiting on yours.

About you and your company

- ☐ Government photo ID for every guarantor and principal
- ☐ Entity documents: articles of organization or incorporation, operating agreement, EIN letter, certificate of good standing
- ☐ Your track record: settlement statements for past deals
- ☐ A letter of explanation for any past credit event, if you have one

About your money

- ☐ The last two months of bank statements
- ☐ Brokerage or retirement statements, if you are counting them
- ☐ Business account statements, with proof you own or can access the account

About the property

- ☐ The fully signed purchase agreement

- ☐ A preliminary title report or title commitment
- ☐ An insurance quote or binder, and builder's risk coverage if work is being done
- ☐ The rent roll and leases, if the property has tenants

About the work

- ☐ A detailed scope of work and budget on the lender's budget form
- ☐ Contractor bids, if you are using a licensed contractor
- ☐ A plan for permits on any electrical, plumbing, HVAC or structural work

The lender orders the appraisal through an approved appraisal management company, and will run credit, background, and anti-money-laundering checks on every owner and guarantor. Those checks are never waived.

10. Red flags when you shop any lender

Whether or not you ever send us a deal, watch for these. They apply to every lender and to anyone who places deals, including us.

- ☐ **Guaranteed approval before anyone has seen the deal.** Real lenders approve in underwriting, after an appraisal and title. A guarantee in advance is a sales line.
- ☐ **Large fees before a commitment.** Paying thousands for an "application" or "processing" before you have terms in writing is the classic advance-fee scam.
- ☐ **No written terms.** A real lender will put the rate, points, term and conditions in writing before you close.
- ☐ **Vague answers about where the money comes from.** Ask directly: are you the lender or a broker, and who is the capital source? You deserve a straight answer.
- ☐ **Pressure to skip title insurance or the appraisal.** Those protect you as much as the lender.

Our own answer to that fourth question, so it is in writing: Dominion Hard Money is not the lender. We place deals with a third-party lending partner, and that partner pays us when a loan closes.

11. What to do next

If you have a property in mind, run it through chapters 4 and 5 with your own numbers. Then go down the checklist in chapter 6. If everything ticks, you have a deal worth submitting.

If something does not tick, you have saved yourself a purchase contract you could not fund. That is worth knowing too.

Have a deal ready?

Send it through the form at dominionhardmoney.com/apply.html. Include the address, purchase price, rehab budget, your after-repair value and how many deals you have done. We will check it against the lender's rules and send it over if it fits.

There is no cost to you for submitting a deal.

Dominion Hard Money does not lend its own funds. It arranges financing through third-party lending partners and is compensated by those partners. Terms in this guide are summarized from the lending partner's published loan programs and underwriting guidelines as of September 2026; they change without notice and are not a quote, a loan commitment or an offer of credit. All loans are subject to underwriting, appraisal and title review, and are available only for business-purpose, non-owner-occupied investment property. Nothing here is legal, tax or investment advice.